



Qualification Programme Examination Panelist's Report

Module 4 – Business Management (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple-choice questions tested the candidates' fundamental knowledge of business management in various aspects, including strategic management, international business, financial management, marketing, and organisational behaviours. In addition, there were several questions that required candidates to apply a deeper understanding of the concepts and knowledge to different aspects of business management. Generally, many candidates performed quite well.

Specific Comments

Candidates showed weaknesses in the following areas:

- Talent management;
- Effective control systems;
- Market positioning;
- Pricing strategy; and
- Human resource management.

(II) Section B – Written Questions

General Comments

The questions in this section aimed at testing candidates on their conceptual understanding as well as their ability to apply their knowledge to specific company situations. It is very important that the candidates respond to the questions in relation to the specific concepts and knowledge required under the different scenarios given in the questions.

In general, candidates tried their best to attempt all the questions even though they might not have had a good understanding of the concepts. Most of the candidates answered the questions with good structure. They listed the points clearly and stated the topic sentence at the beginning of each paragraph.

However, among the six questions in this section, only one or two were answered satisfactorily. Most of the candidates did not perform very well on the remaining



questions. This may have been due to inadequate knowledge of the relevant concepts required by the questions and an inability to relate the answers to the scenario given in the questions.

Specific Comments

Question 1 – 10 Marks

This question required candidates to explain the advantages and disadvantages of forming a limited company. This was one of the best answered questions. Most candidates provided comprehensive answers and scored high marks.

For candidates who scored low marks, the answers provided did not pertain to the advantages or disadvantages of forming a limited company.

Question 2(a) – 4 Marks

This question required candidates to explain the most suitable market targeting strategy that could be adopted by the company in the question. However, all candidates failed to name the market targeting strategy (i.e., single-segment concentration). Overall, performance on this question was not satisfactory.

Question 2(b) – 6 Marks

This question required candidates to describe the principles of TQM. The question itself was straightforward, but performance was not satisfactory. Most of the points provided by the candidates were irrelevant and lacked depth.

Candidates simply provided answers they thought were related to the concepts but which were not based on the relevant materials.

Question 3(a) – 4 Marks

This question required candidates to illustrate the differences between short-term finance and long-term finance. The question itself was quite straightforward and simply required students to provide answers related to the concepts.

In general, candidates answered the question well. Candidates that failed to get high marks on this question misunderstood that the interest rate of long-term financing was higher than that of short-term financing. If they could explain that the interest rate of short-term financing is more volatile than long-term financing, they could receive high marks.

Question 3(b) – 6 Marks

This question required candidates to summarise three potential ways of long-term finances. In general, performance was not satisfactory.

Some of the candidates did not read the question carefully and suggested short-term financing ways. Moreover, some of them failed to give concrete explanations of the potential ways.

Question 4(a) – 2 Marks

This question required candidates to define and explain operation risks. This question was quite straightforward.

Performance was not satisfactory. Operation risks should also include risks arising from market conditions (e.g., government policies), but most candidates failed to mention this aspect.

Question 4(b) – 2 Marks

This question required candidates to apply the concept of operational risks with reference to the question scenario.

Performance on this question was not satisfactory since most of the candidates were not able to outline the concept. Some of them simply copied the content of the case situation without further elaboration.

Question 4(c) – 6 Marks

This question required candidates to describe three main issues that must be addressed in the feasibility study in the produce development process.

The performance of the candidates was average as some of them were able to point out market analysis and economic analysis, though this was not sufficient. Moreover, candidates were not able to comment on the technical and strategic analysis in the feasibility study.

Question 5(a) – 2 Marks

This question required candidates to define wages and salaries. This question was very straightforward.

The performance of the candidates was very satisfactory as the case provided hints about this question.

Question 5(b) – 12 Marks

This question required candidates to describe Herzberg's Two-Factor Theory and apply this theory to the case in the question. The performance of the candidates was fair.

Specifically, some of the candidates were not familiar with the Herzberg's Two-Factor Theory and, thus, they were not able to describe it in detail. However, when the

candidates were asked to explain why Thomas is demotivated, most of them were able to explain as the question clearly described the views of Thomas. Thus, most of them received good marks in this part.

Question 5(c) – 6 Marks

This question required candidates to describe the types of training programmes provided by Thomas's direct supervisor with reference to the case contents.

Performance on this question was fair as it actually required candidates to describe three programmes, but many of the candidates only described two. Moreover, some of the candidates were not able to list the type of training programmes.

Question 6(a) – 4 Marks

This question required candidates to identify and explain the specific product life cycle stage that the Japanese anime café belongs to. The performance of the candidates was fair.

Most candidates were able to correctly identify the stage of product life cycle. Only a few wrongly considered it to be the growth stage. However, not many candidates wrote enough points to get full marks.

Question 6(b) – 9 Marks

This question required candidates to illustrate the service concepts for the café mentioned in the case. The performance of the candidates was not satisfactory.

Many candidates did not fully understand the service concepts or they did not outline the concept. Some of them only copied the contents of the case situation without further elaboration.

Question 6(c) – 3 Marks

This question required candidates to identify the market entry methods to mainland China. The performance of the candidates was satisfactory.

Many candidates did very well as the question was straightforward. However, quite a few candidates wrote lengthy answers even when the questions only requested them to list the market entry methods.

Question 6(d) – 4 Marks

This question required candidates to explain one appropriate entry method for the Japanese anime café with reference to the case information.

The performance of the candidates was not satisfactory since many candidates suggested adopting a joint venture to enter mainland China, but this is not the most



appropriate entry method. The size of the café is not large enough to allow the café to adopt this entry method to enter mainland China. Only a few candidates managed to explain the methods in detail as applied to the case.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. Some were able to provide answers related to the questions or the relevant concepts, but when asked about some areas, including marketing, operational management, organisational behaviours, and service management, candidates were not able to answer well, or they mixed up the concepts easily.

Candidates are advised to read the questions carefully and address what is being asked. As shown in one of the questions related to short-term financing and long-term financing, candidates were not able to read the questions carefully and provided incorrect answers.

Secondly, candidates are advised to prepare and study the materials well, especially for areas not directly related to their job background, e.g., marketing, operational management, organisational behaviours, and service management. There are many different concepts which the candidates must memorise and differentiate. Thus, it is very important for the candidates to study and prepare well.

Thirdly, candidates should answer carefully and pay attention to the marks allocated to the questions. Some candidates did not write in enough detail for question(s) that were worth high marks, thus resulting in low marks. Thus, candidates should allocate their time and plan their answers well with reference to the allocation of marks.

Finally, candidates should also try to write and elaborate their answers with reference to the case information. Some of the candidates did not provide elaborated answers and thus received very low marks.